

Global Rates Strategy

Tighter EGB spreads, yes. Time to relax, not yet.

Interest Rates

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Positive risk sentiment - No pandemic or '22 playbook on fiscal policy

We have been advising clients to [not fight any tightening in 10y spreads of Italy, France and Spain against Germany](#). We have been long 10y bunds since end March so have been constructive on European core duration. The reasons why we think spreads could also tighten further are relatively straightforward, if maybe not entirely comfortable. First, we do not see a repeat of the fiscal support granted in the pandemic or in '22 as the European Commission is reviewing the escape clauses for fiscal rules. Second, risk sentiment is doing the heavy lifting now. When European equities perform, spreads go along ([Figure 5](#)). Third, the political calendar with 2027 budget and 2028 elections could lead to some volatility and spread widening but is relatively distant. Mark your calendar for end August '26 when we expect conversations on 2027 budgets to start in earnest.

Italy versus France - Carry dominates for now

We think that Italy may eventually underperform France, but we have been telling clients [not to mistake a future concern for a present trade as a moderate search for carry in EGBs has resumed](#). The market tested and rejected Italian underperformance when 10y Italy vs France rose to 22 bps in March '26, after trading around zero in the final quarter of '25. In recent years, Italy has benefited from political stability, the NGEU program, and a reduction in budget deficits to ~3%GDP. But NGEU support could be fading together with the boost from nominal growth ([Figure 2](#)).

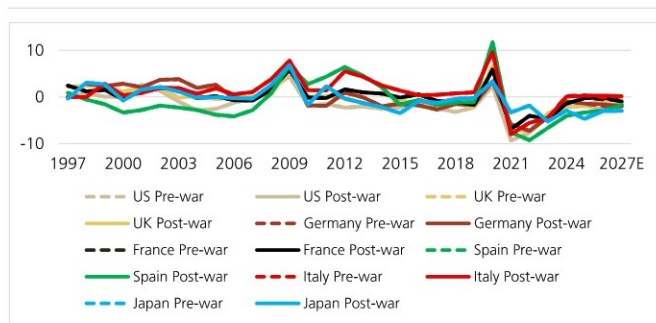
But do not mistake calm for comfortable

German 30y are now sitting at our end-2026 forecast of 3.50%. That level is 35 bps above 30y EUR swap rates, with the spread 12 bps wider on the year. When sovereigns consistently fund above swap rates, it is an indication that the market is pricing in more lasting fiscal risks, even if it is just basis point by basis point. German growth and fiscal developments in the year ahead will be key.

Funding market dog has not barked

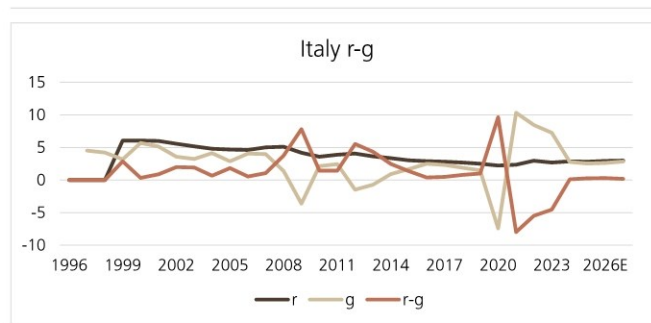
We did not pick up material concerns on EUR or US funding markets in recent [client meetings](#). That being said, EGB issuance is running slightly below its 3y average. We thought that near-term EGB issuance could lead to [some modest widening of sovereign rates versus swap rates](#) but the recent duration rally is likely to alleviate some of these concerns.

Figure 1: Trends in r-g across countries



Source: UBS (incl estimates)

Figure 2: Italy - nominal interest rate vs nominal growth rate



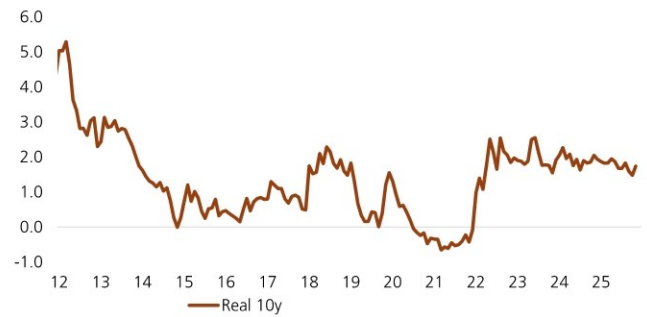
Source: UBS (incl estimates)

Figure 3: BTP 2y real



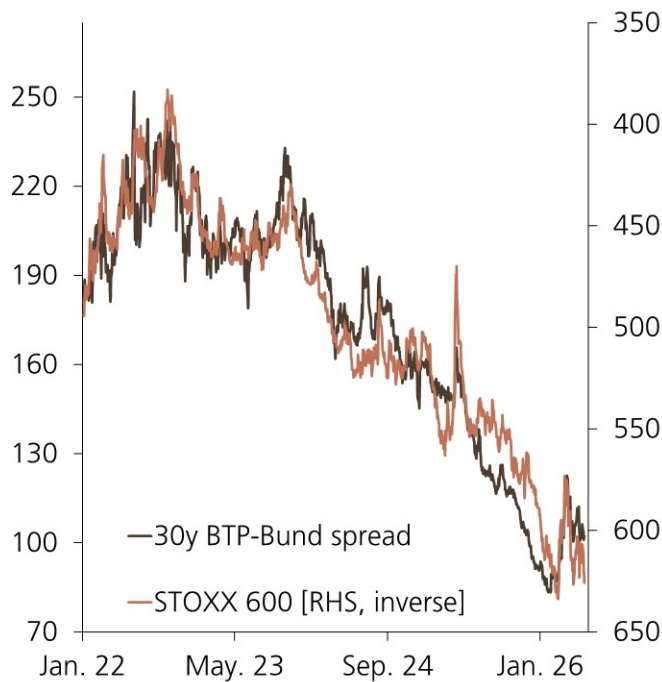
Source: Bloomberg

Figure 4: BTP 10y real



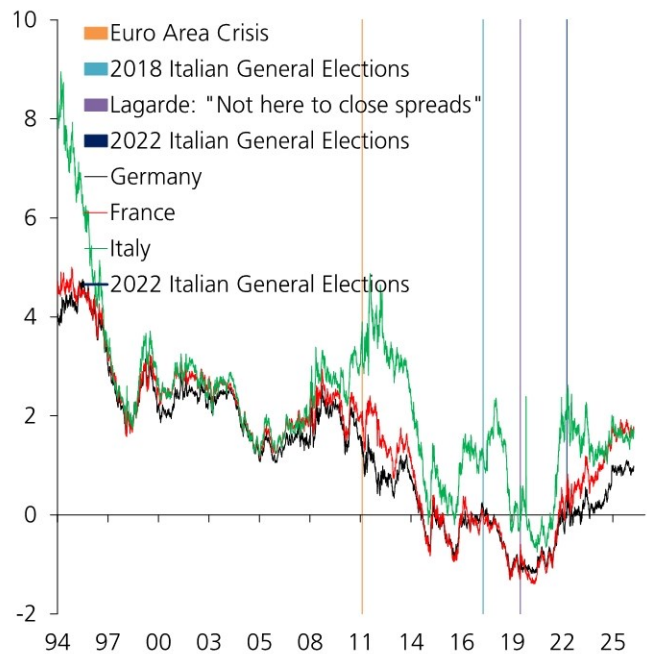
Source: Bloomberg

Figure 5: EURO STOXX 600 and 30y BTP-bund spreads



Source: Bloomberg, UBS.

Figure 6: 10y term premium estimates for Germany, France and Italy



Source: Bloomberg, UBS estimates based on Adrian, Crump and Moench (2013).

We would like to thank Deepak Joy and Mehak Bhalla, our research support service professionals in our Hyderabad Research BSC, for assisting in preparing this research report.

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